

The support region at 29.50 is flat. These two ingredients, a down-sloping trendline on the top and a horizontal support line on the bottom, are the two main characteristics of descending triangles. A receding volume pattern throughout the formation completes the picture.



Figure 65.2 The March triangle forms after a long climb beginning in late 1992. The nicely formed chart pattern has a receding volume trend, especially in the latter half of the triangle. The July triangle is a failure because it does not immediately descend as expected.

The July pattern is also a descending triangle although not as well formed. Volume rises through the first half of the pattern before moving downward toward the triangle apex.

If you owned stock in this company and sold during either of the descending triangles, you would be pleased. Although the second pattern is a failure because price rises above the triangle top (after a downward breakout), price does start down within the month. Sometimes failed patterns prematurely alert you to a trend change, as the July example shows.

Table 65.1 outlines the identification characteristics for descending triangles.